There Is a Problem in Global Payments

There has been considerable expansion in the linking of banks globally. Banks establish correspondent banking relationships to facilitate transfer of money and payments. The evolution of messaging systems like SWIFT and digital payment platforms have expedited global payments and reduced the cost of money transfer over the past few years. Digital payment systems like UPI and Internet banking are very efficient and cost nothing—but these are only available for domestic payments and transfers.

There are, however, still problems with the global payment architecture.

It is difficult to order and pay for goods and services on e-commerce platforms located in other countries. It is more difficult to raise loans and credit from lenders outside the country. Even transferring incomes as remittances costs a lot. A World Bank study estimated this cost to be in the order of about $30 billion or about Rs 2.1 lakh crore in 2017. The Indian diaspora ends up paying about 2.5 per cent or more for $500 remittance transfers. Immigrant workers of some countries lose 15–20 per cent of their earnings while transferring funds to their homeland.

All this happens because there is no integration of bank accounts and balances internationally. In fact, most developing countries, and even many advanced countries, have not been able to do so even domestically.

Burst of Private Cryptocurrencies Globally

Bitcoin, the most well-known, used and traded private cryptocurrency, burst on the global scene in 2014 with a market cap of about $10 billion. The market cap of bitcoin crossed $1 trillion in February 2021.

Unlike a currency that has a stable value/price, bitcoin prices have varied phenomenally—from less than $500 per bitcoin in most of 2014–2015, it peaked at about $15,000 in December 2017 and fell below $3500 by December 2018. In 2021, bitcoin rose to its lifetime-high levels though